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Peter Levine
212 497 0833
peter.levine@evercoreisi.com

Kirk Materne, CFA
212 497 0873
kirk.materne@evercoreisi.com

Charlie Zhou
646-551-8513
charlie.zhou@evercoreisi.com

Peter Burkly
212 497 0831
peter.burkly@evercoreisi.com

Bill McNamara
212 446 5626
bill.mcnamara@evercoreisi.com

Vinod Srinivasaraghavan, CFA
646-551-8831
Vinod.Srinivas@evercoreisi.com

Cyber Checks Round 1: Demand Remains Resilient, AI Security Urgency Builds, and Hardware Strength Persists - Positive On PANW, CRWD, & FTNT

We wanted to recap our first round of cyber channel checks with partners, which reinforced our positive view on the space. Overall, we came away incrementally constructive, with no evidence of a change in spending appetite, demand trends, or deal velocity relative to the narrative we have seen in recent quarters. Our checks suggest budgets remain resilient, customer urgency around securing AI remains front and center, and the broader setup continues to be supportive for the group. Top priorities remain centered on identity, data security, and SecOps. Partners were more mixed on firewall demand than we expected despite recent strength, as component-driven price increases are complicating large refresh discussions and prompting some customers to delay upgrades. We also heard examples of aggressive pricing actions from vendors, including large price increases and quotes valid for only one week, which has been driving some pull-forward activity. Likely supporting N/T upside for FTNT, PANW, & CHKP, though demand durability remains the key question. Since the Mythos announcement, partners have seen a meaningful uptick in board-level conversations around securing AI, with activity now beginning to convert into pipeline. Partner commentary suggests funding for AI comes from both incremental and reallocated budgets. Overall, read-throughs suggest April to June was strong across most vendors, skewing most positive for CRWD, PANW, FTNT, & OKTA, and more mixed on ZS.

Vendor-specific highlights:

- **PANW:** Feedback was broadly constructive, with firewall demand holding up, CYBR unlocking identity conversations, and platform consolidation supporting momentum across SASE and Cortex.

- **CRWD:** Platform momentum remains strong across the board, with Flex supporting broader adoption. Next-gen SIEM continues to gain traction. Partners are bullish.

- **OKTA:** IGA momentum continues to build, while interest in agentic offerings is growing but still very early.

- **FTNT:** Hardware demand remains healthy, supported by refresh activity and pricing actions, while AI-driven infrastructure needs could provide upside.

- **ZS:** Competition continues to intensify in SASE, pressuring ZS's net new growth and win rates.

See Inside For Additional Color

Vendor Specific Commentary

PANW: Strong Product and CYBR Cross-Sell Momentum, Product Strength Continuing For Now

Firewall

- Firewall demand remains supported by higher processing requirements, particularly as customers enable TLS / SSL decryption and require greater network throughput.
- Customers are increasingly delaying upgrades where possible, with purchases more often tied to EOL devices or new infrastructure requirements.
- Rising firewall prices are prompting more SASE architecture reviews, particularly in distributed environments facing large refresh quotes across hundreds of devices.
- PANW may offer some firewall pricing discounts when customers adopt additional products such as XSIAM or Cortex.
- One partner noted that PANW's C2Q activity was heavily weighted toward software, with nine of that partner's top ten PANW deals described as software-led.
- PANW lead times have worsened in recent weeks, with memory availability cited as a key driver of longer hardware delivery times.

CYBR

- The CYBR acquisition has materially expanded PANW's relevance in identity, pulling PANW into more identity conversations and creating a significant pipeline unlock in accounts with limited prior CYBR exposure.
- Partners remain positive on the CYBR integration, expecting PANW to aggressively drive cross-sell and platform attach across its enterprise base.
- Integration moved faster than expected, with team and program rationalization completed in April vs. an expected August timeline, helping create clarity for the field.
- Customers are not pushing back on vendor concentration concerns, not seeing customers move away from either CYBR or PANW since the acquisition.
- The key customer question remains "what do I get for this," with conversations centered on commercial / cost benefits and technology / integration value.
- CYBR continues to lead in PAM, and while BeyondTrust and other vendors are still considered in deals, they do not appear to be gaining meaningful share from customers' concerns about vendor concentration.

Product Momentum

- Platformization continues to gain traction, and PANW is viewed as a clear beneficiary as customers evaluate larger integrated platforms rather than fragmented point solutions.
- Customers appear increasingly focused on platform consolidation over standalone SASE point solutions, positioning PANW well relative to best-of-breed vendors.
- Prisma SASE continues to benefit from PANW's enterprise agreement motion, with PANW well positioned to win when SASE is folded into broader multi-product agreements.
- PANW is gaining share in SASE, supported by integration, technology, and commercial advantages, particularly in customers already standardized on the platform.
- Prisma SASE can simplify policy management for PANW customers, with firewall policies easier to extend into Prisma SASE through the PANW console vs. managing separate policies in ZS.
- PANW is gaining share in more basic Secure Web Gateway use cases, where ZS's incremental value is less differentiated and pricing is harder to justify.
- PANW still appears less competitive than ZS in more advanced private access use cases, where switching complexity and nuanced policy configuration create stickier deployments.

- Next-gen SIEM and data ownership remain key L/T platform battlegrounds, with PANW and CRWD viewed as among the best-positioned vendors.
- XSIAM wins where customers are pursuing large SecOps transformations or SIEM disruption, though CRWD's next-gen SIEM win rate is viewed as higher.
- PANW is pursuing an aggressive Cortex / XSIAM GTM motion, competing for SecOps budgets even where CRWD or MSFT renewals remain one to two years out.
- Chronosphere is seeing less customer pull-through than CYBR, with CYBR clearly the more visible acquisition-driven cross-sell opportunity to date.

CRWD: Platform Momentum Remains Strong Across the Board

Flex

- Flex continues to support broader platform adoption, though the current partner model can create channel friction by tying each customer Flex agreement to a single partner.
- The single-partner structure may limit flexibility in accounts where another partner is trying to sell incremental CRWD modules.
- CRWD does not typically recast or disrupt mid-term agreements the way PANW or CSCO often do, creating a different add-on motion vs. broader enterprise agreement competitors.

GTM

- CRWD is increasingly seeking partners with CIO / C-level access, infrastructure relationships, and the ability to sell large enterprise agreements tied to the broader AI conversation.
- CRWD appears to be moving beyond a pure-play cyber channel motion as the platform expands into larger enterprise, infrastructure, and AI-related buying discussions.
- Customers continue to add CRWD functionality to augment MSFT, with "better together with MSFT" emerging as a potential CRWD-led conversation in some accounts.

Product Momentum

- Partners remain broadly bullish on CRWD's product portfolio expansion, supporting confidence in durable growth.
- The broader cybersecurity platform race is increasingly centered on which vendors can own the most telemetry and drive agentic SOC workflows.
- CRWD's next-gen SIEM continues to gain traction, with win rates tracking above PANW.
- One partner noted traditional EDR appears to be receiving somewhat less priority than identity and network security in the current AI-driven environment.
- Endpoint remains highly sticky, with partners seeing zero attrition across a ~100 enterprise customer sample and no signs of customers moving away from Falcon.
- MSFT remains CRWD's most formidable competitor, particularly given broad customer adoption across endpoint and identity driven by existing enterprise MSFT spend.

OKTA: IGA Momentum Continues, AI Agent Could Have Potential

- OKTA's lightweight IGA solution continues to resonate as an easy add-on for customers already using OKTA for SSO / MFA.
- OKTA's price point remains an advantage vs. SAIL and Saviynt in simpler environments that do not require highly complex enterprise IGA deployments.
- Partners are not seeing OKTA displace SAIL in complex enterprise IGA environments.
- OKTA is benefiting from broader identity urgency, though much of the agentic AI market remains in pipeline-building and early deployment stages.

- Partners are seeing Okta for AI Agents generate customer interest and new pipeline, with some expecting more customers to move forward over the next six months.
- Broader purchasing activity for Okta for AI Agents remains limited so far. It's very early.
- Strong GTM around AI agents, with sales incentives clearly aligned to drive adoption.
- OKTA remains strongest in its core access management lane, while expansion into adjacent identity markets continues to build gradually.

FTNT: Continued Product Strength, Supported By Pricing And Some Pull-Forward Activity

- One partner with a ~$100mn FTNT business noted meaningful hardware demand pull-forward in 1Q tied to rising firewall prices, which contributed to a Q2 slowdown (specifically for them and their smaller FTNT practice).
- FTNT is increasingly targeting unhappy PANW customers, positioning around performance, cost, and support as customers scrutinize large firewall refreshes.
- Customers may have bought firewall hardware earlier than usual, possibly because of supply-chain concerns, refresh cycles, or budget timing. That can make current sales look strong but reduce future demand.
- Some customers are increasingly delaying upgrades where possible, with purchases more often tied to EOL devices or new infrastructure requirements.
- Refresh timing varies significantly by deployment model, with neocloud providers refreshing infrastructure in months, enterprise data centers typically on ~2-3-year cycles, and manufacturing / industrial environments extending materially longer.
- AI adoption could support infrastructure refresh cycles as enterprises handle higher data volumes, segment AI workloads, and re-architect environments.
- Firewall price increases are prompting more architecture reviews, particularly in distributed environments facing large refresh quotes across hundreds of devices.
- Lead times remain relatively manageable, with most quotes still showing normal 3-4 week availability depending on series.
- FTNT appears to be pushing above pure cost pass-through in some cases, with pricing actions viewed as aimed at increasing margins rather than simply maintaining them.
- FortiSASE remains more relevant in lower-end environments, but is still not viewed as ready for prime time in larger enterprise deployments.
- FTNT is willing to discount FortiSASE aggressively into renewals, particularly where customers have an existing ZS deployment.
- Partners continue to view FTNT as differentiated around ease of use, consistent user interface, and attractive price-performance.

ZS: Competition Continues To Intensify, Pressuring Net New Growth

Growth Drivers

- Growth continues to be driven by existing customer expansion, while net new customer acquisition remains challenged.
- ZS remains stickier in ZPA / private access, where customers have invested significant time configuring nuanced access policies and switching costs are meaningfully higher.
- ZS's SecOps product uptake is less clear, as the product currently reads more like threat intelligence to consume than an operational workflow solution that removes tasks or improves team bandwidth.

Competitive Landscape

- ZS is no longer the default choice for F1K SASE projects, with customers increasingly running more diligence and competitive bake-offs.
- Win rates appear to be declining in competitive SASE evaluations, particularly against PANW, NTSK, NET, and Cato.
- Competitive intensity continues to increase in SASE, with PANW gaining share through broader enterprise agreements and NTSK performing well on features and innovation.
- PANW is increasingly competing against ZS in traditional ZIA use cases, with Prisma SASE benefiting from easier policy migration and agent consolidation for PANW customers
- ZS still appears strongest where customers need more surgical traffic shaping and advanced tuning, though that use case does not apply to every customer.
- Partners noted ZS still maintains premium pricing today, though pricing power is likely to compress over the next 2-3 years as platform competition intensifies.
- Partners believe ZS needs to continue reinventing itself as a broader platform to remain sticky as customers increasingly prefer consolidated vendors.

GTM

- ZS continues to face a brand perception issue around being highly feature-rich but also complex and expensive, which is creating friction as it moves further down-market.
- Implementation remains challenging, but once customers reach a mature Zero Trust state, the environment can operate with limited disruption and typically requires only fine-tuning rather than major rework.
- Smaller customers may require more tailored packaging, better customer support, and a more elegant entry point to make the platform easier to consume.
- Red Canary could serve as a lower-end entry point for smaller environments, though ZS still needs clearer packaging for that customer segment.
- Red Canary traction still appears early, with the broader GTM motion remaining a work in progress.

SailPoint

SAIL: Partners Call Out Competitive Pressures

- SAIL is viewed as late to non-human identity, with the Entro acquisition intended to help close the gap vs. emerging players, though execution will depend on the pace of integration and delivery.
- SAIL's depth remains relevant in complex enterprise environments, but customers with simpler use cases may increasingly evaluate lower-cost or lighter-weight alternatives.
- The operational heaviness of IGA / PAM creates a meaningful barrier to displacement, particularly in regulated industries and F1K accounts.
- SAIL is responding aggressively and appears unwilling to lose existing customers, using discounting and creative pricing to defend renewals.

CHECK POINT™

CHKP: Muted Firewall Growth, But Existing Base Remains Loyal

- Firewall customers remain highly loyal, particularly in large European banks and other standardized enterprise environments, with renewals viewed as steady and low-friction.
- Not typically presented in new customer evaluations unless customers already have existing CHKP deployments.
- VARs are influential, particularly for buyers with more limited technical expertise or internal support.

- Not necessarily losing share in firewall, but does not appear to be capitalizing on the growth opportunity at the same pace as FTNT or PANW.
- CHKP appears less aggressive in firewall, while FTNT and CSCO are more actively targeting unhappy PANW customers.
- CHKP Harmony and Lakera's AI security offerings both see good traction.

NTSK (Not Covered): GTM Maturing

- NTSK win rates continue to rise post-IPO, with the company competing more formidably against PANW and ZS.
- Appearing to be benefiting from a "brand renaissance," with customer conversations increasingly centered on feature innovation rather than price-led displacement.
- NTSK was quick to identify and market AI use cases, helping elevate the platform's positioning in competitive SASE evaluations.
- Moving beyond the historical motion of targeting unhappy ZS customers, suggesting a more durable and differentiated GTM motion.
- Gaining traction in select verticals such as retail, where it has been showing up more frequently in recent evaluations.
- NTSK remains strong in CASB / DLP, but its opportunity appears skewed toward more sophisticated customers with the staff and maturity to use advanced controls effectively.
- Wins when data security is central to the SASE decision, particularly where ZS's CASB / DLP capabilities are viewed as weaker.
- TAM may be narrower than its SASE peers, as the product is best suited to more advanced customers with sophisticated security teams.

NET (Not Covered): Improving SASE Momentum

- NET appears to resonate in budget-constrained accounts where customers may not have the capital outlay for a more expensive SASE platform such as ZS.
- NET is gaining traction in lower-end / mid-market SWG use cases, particularly where customers need a simpler SASE alternative rather than a full enterprise ZTNA replacement.

RBRK (Not Covered): Growing Focus On Cyber Resilience

- Recovery and resilience remain priority areas outside of AI-specific budgets.
- AI increases the importance of data visibility and management, which can benefit resilience vendors that already control backup and recovery data.
- Resilience vendors such as RBRK are increasingly trying to become part of the data path, using backup data to provide cataloging, data management, and broader security insights.

VRNS (Not Covered): Strong Data Security Momentum

- VRNS is gaining ground around DLP, data management, and AI gateway use cases.
- Data management is increasingly viewed as a bottleneck for AI deployments, as customers need to understand where data resides, who has access, and how it can be safely used.

Company Changes															
										Estimates					
				Rating			Target Price			Current Year			Next Year		
Symbol	Company	Price		Curr	Prev		Curr	Prev		Curr	Prev		Curr	Prev
AKAM	Akamai Technologies, Inc	$112.73	-	OPF	OPF	-	$165.00	$165.00	-	$4497.51	$4496.96	-	$4953.96	$4960.63
CHKP	Check Point Software Technologies	$138.87	-	IL	IL	-	$130.00	$130.00	-	$10.46	$10.46	-	$11.29	$11.60
CRWD	CrowdStrike Holdings, Inc	$199.38	-	IL	IL	-	$177.50	$177.50	-	$3.73	$3.73	-	$4.92	$4.84
FSLY	Fastly, Inc	$18.25	-	OPF	OPF	-	$32.00	$32.00	-	$717.60	$710.21	-	$812.22	$802.72
FTNT	Fortinet Inc.	$162.35	-	IL	IL	-	$100.00	$100.00	-	$3.13	$3.14	-	-	-
OKTA	Okta, Inc.	$148.60	-	OPF	OPF	-	$130.00	$130.00	-	$3.50	$3.50	▲	$3.83	$3.78
PANW	Palo Alto Networks, Inc.	$357.53	-	OPF	OPF	-	$320.00	$320.00	-	$3.78	$3.78	▼	$4.08	$4.10
SAIL	SailPoint, Inc.	$15.85	-	OPF	OPF	-	$18.00	$18.00	-	$1071.42	$1071.42	-	$1270.12	$1266.90
ZS	Zscaler Inc.	$150.42	-	IL	IL	-	$155.00	$155.00	-	$4.14	$4.14	-	$4.56	$4.56

Source: Company Data, Evercore ISI Research

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Hold	274	35	Hold	21	8
Sell	11	1	Sell	0	0
Coverage Suspended	8	1	Coverage Suspended	2	25
Rating Suspended	14	2	Rating Suspended	4	29

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